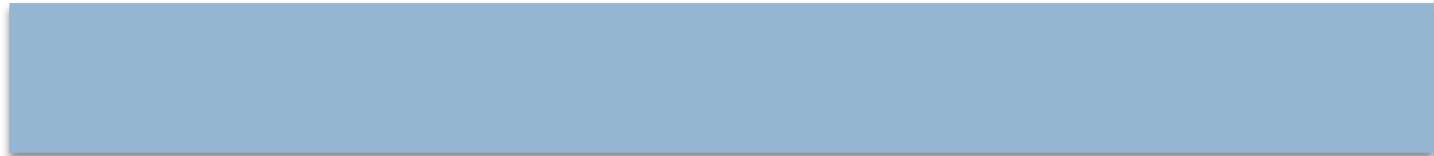


Introduction to Management

Chapter One



Definition

☞ **Management** is the process of coordinating all resources through the five major functions of planning, organizing, staffing, directing /leading and controlling.

In the above definition there are three key concepts

Coordination of all resources:

The five managerial functions:

Objectives: are basically profit maximization or cost minimization

☞ **WHY WE USE THESE MANAGERIAL FUNCTIONS?**

To achieve stated objectives

Definition (continued)

☞ **Management** is the art of getting things done through other people by making the atmosphere conducive for others.

Who are managers?

☞ **Managers:** are those person in the position of authority who make decisions to commit (use) their resources and the resources of others towards the achievement of organizational objectives.

Managerial Functions

Planning :

what are activities and features to be considered under this function?

Activities:

- ✍ Selecting missions and objectives and the actions to achieve them.
- ✍ Requires decision making.
- ✍ Planning bridges the gap between where we are to where we want to be in a desired future.
- ✍ It maps out courses of action that will commit individuals, departments and the entire organization for days, months and years to come.

Managerial function (continued)

Organizing:

✂ What are activities and features to be considered under this function?

Activities and features :

✂ focuses on allocating and arranging human and non-human resources so that plans can be carried out successfully

✂ Organizing develops the structure to reach these goals.

✂ Determine which tasks are to be done

✂ It involves creating job positions with assigned duties and responsibilities, arranging positions into hierarchy by establishing authority–reporting relationship

Brainstorming questions: Is organizing a one time activity which we will do and then forget?

Managerial function(continued)

Staffing:

what are activities and features to be considered under this function?

Activities and features :

- ✍ Involves filling and keeping filled the positions in the organization structure.
- ✍ Recruiting, selecting, placing, orienting, training and promoting both candidates and existing employees.
- ✍ Staffing is concerned with human resource of the organization.

Managerial functions(continued)

DIRECTING/LEADING :

What are activities and features to be considered under this function?

Activities and features :

- ✍ It involves influencing others to engage in the work behavior necessary to reach organizational goals
- ✍ Leading is the most complex managerial function. Why?
 1. Because it deals with complex human behavior
 2. Because most problems in organizations arise from people, their desire and behavior

Managerial functions(continued)

CONTROLLING:

what are activities and features to be considered under this function?

Activities and features :

- ✍ It deals with establishing standards
- ✍ measuring performances against established standards
- ✍ dealing with deviations from established standards

Significance of management

Why we use management functions?

Importance:

- ✍ It is important for personal life.
- ✍ It affects the accomplishment of social, economic, political and organizational goals.
- ✍ Without management effort will be wasted.

Levels of management

✍ Is management the same throughout an organization? Yes and No

Yes: because all managers perform the five managerial functions.

No: because despite the fact that they perform all managerial functions, they perform it with different emphasis and scope.

Managers can be divided based on two criteria.

These are:

- ❖ **Levels** of management (vertical difference)
- ❖ **Scope** of responsibilities (horizontal difference)

Levels of management(continued)

Types of Managers based on levels of management:

What does it mean by level?

✍ **Level** refer to hierarchical arrangement of managerial positions or persons in an organization.

✍ How these levels are distinguished? What functions are performed at each level?

Levels of management(continued)

Top Level Managers:

- ☞ Are managers who are at the top of the organizational hierarchy and are responsible for the entire organization.
- ☞ They are usually few in number and include the organization's most important managers
- ☞ Develop overall structure of the organization.
- ☞ Spent much of their time in planning and dealing with middle level managers and other subordinates.
- ☞ Top-level managers take the credit or blame for organizational success and failures respectively.

Levels of management(continued)

Middle Level Managers:

Middle level managers occupy a position in an organization that is above first-line management and below top management.

☞ Often coordinate and supervise the activities of lower level managers.

☞ Receive broad/overall strategies from top managers and translate it into specific objectives and plans for First-Line Managers/operating managers.

E.g. Academic deans, Division Head, Plant managers, Army captain

Levels of management(continued)

First Level/ Supervisory Level managers

Their subordinates are non managers.

- Assign operating employees to specific tasks.
- Spent much of their time in leading and little in planning.
- Serve as a bridge between managers and non-managers.
- Are directly responsible for the production of goods and services. E.g. Department Heads, supervisory personnel, Sales managers, Loan officers, Foreman.

Types of Managers based on scope of responsibility

Functional Managers: Functional managers are managers who are responsible for a department that performs a single functional task and has employees with similar training and skills.

their responsibility is limited to their specialization/specification.

General Managers: General Managers are managers who are responsible for several departments that perform different functions.

☞ They are responsible for the entire operations of the organization without being specific.

☞ A small company may have only one general manager but a large organization may have several, each at the head of a relatively independent division.

Managerial Roles

1. Interpersonal Roles:

☞ Involve developing and maintaining positive relationships with significant others in the organization.

☞ It is communication oriented

This role comprises of:

A. Figurehead Role:

Example: Signing documents, presiding at a ceremonial event, greeting visitors, attending a subordinate's wedding, taking a customer to lunch, university president hands out a diploma for graduates

Managerial roles

B.Leadership Role:

- ☞ makes the environment conducive for work by improving working conditions, reducing conflicts, providing feedback for performance and encouraging growth.
- ☞ The leader builds relationship and communicates with employees, motivates and coaches them.

C.Liaison Role:

- ☞ Maintains a network of contacts outside the work unit to obtain information.
- ☞ She fulfills her role through community service, conferences, social events

Managerial roles(continued)

2. Informational Roles

A. Monitor role:

☞ The monitor seeks internal and external information about issues that can affect the organization.

☞ Information is gathered from news reports, trade publications, magazines, clients, associates, and a host of similar sources, attending seminars and exhibitions.

B. Disseminator Role:

What does the manager do with the information collected?

- ☞ As the disseminator, the manager passes on to subordinates some of the information that would not ordinarily be accessible to them.
- ☞ After the information has been gathered (by monitor role), it has to be disseminated to superiors, subordinates, peers and other concerned clients.



C. Spokesperson/representative Role:

The spokesperson transmits information about the organization to outsiders.

Note: the manager seeks information in the monitor role, communicates it internally in the disseminator role and transmits it externally in the spokesperson role.

Managerial roles(continued)

3.Decisional Roles:

☞ Involve making significant decisions that affect the organization.

A. Entrepreneur Role:

☞ In the role of entrepreneur, the manager tries to improve the unit.

☞ The entrepreneur acts as an initiator, designer, and encourager of change and innovation.

Managerial roles(continued)

B. Disturbance Handler Role:

- ✍ Solution seeking role.
- ✍ The disturbance handler is responsible for taking corrective action when the organization faces important, unexpected difficulties.

C. Resource Allocator Role:

- ☞ Deciding on the allocation of the organization's physical, financial and human resources.
- ☞ This involves assigning work to subordinates, scheduling meetings, approving budgets, deciding on pay increases, making purchasing decisions

Managerial roles(Continued)

D.The Negotiator Role:

Examples include negotiations to buy firms, to get credit, with government, with suppliers, etc.

Managerial Skills

A. Technical Skills:

- ✍ Specialized knowledge and ability that can be applied to specific tasks.
- ✍ Technical skills are most important at the lower levels of management.

Example: A surgeon, an engineer, a musician, a quality controller or an accountant all have technical skill in their respective areas.

Managerial skills

B. Human Relations or Interpersonal Skill:

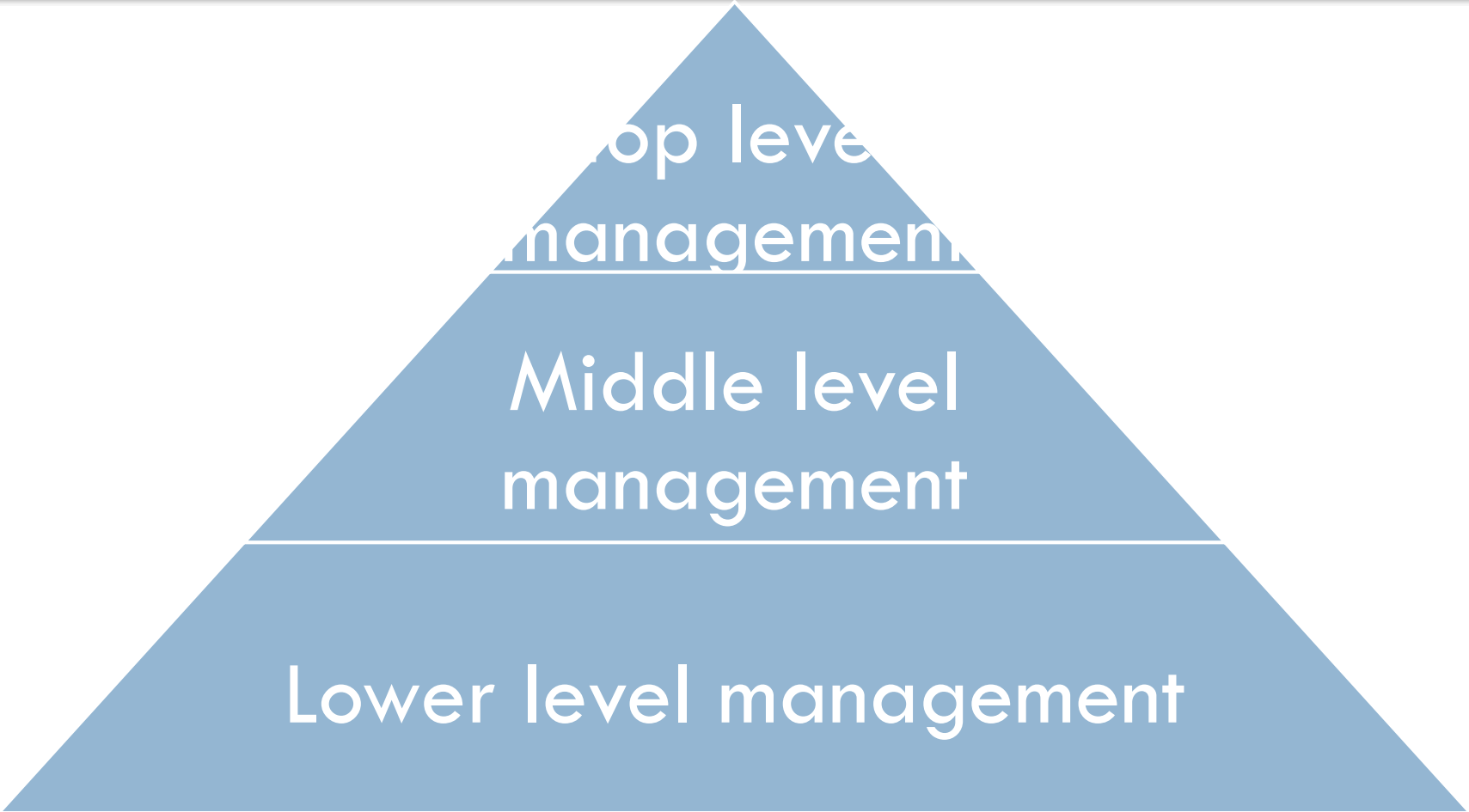
- ✍ The ability to interact effectively with people.
- ✍ Human relation skills are equally important at all levels of management.
- ✍ A manager with human skills likes other people and is liked by them.

Managerial skills

C. Conceptual skills:

- ✍ They are more important to top-executives than middle managers and supervisors.
- ✍ Conceptual skills are more important in strategic (long range) planning
- ✍ It also involves the manager's ability to understand how a change in any given part can affect the whole organization

Levels of management



The diagram consists of a blue pyramid divided into three horizontal sections. The top section is the smallest, the middle section is medium-sized, and the bottom section is the largest. Each section contains white text. Above the pyramid, there is a horizontal bar with an orange segment on the left and a blue segment on the right.

Top level
management

Middle level
management

Lower level management

Management: Science or Art?

What is science?

✍ **Science** is characterized by making conclusions based on actual facts and verifies knowledge through cause-effect relationship.

✍ It can be generally learnt, thought, and researched to know the universal truth.

✍ **Art** is characterized by using common sense, personal feeling, beliefs, impulses, etc.

✍ **Thus, management as a practice is an art;** the organized knowledge underlying the practice may be referred to as a science.

Universality of management

- ✍ All managers perform the five managerial functions even if with different emphasis.
- ✍ Management utilizes scientifically derived operational principles.
- ✍ Theories and principles have universal application in all kinds of organized and purposeful activity and at all levels of management.

Summary of roles of management

Category	Role	Activity
Interpersonal	Figurehead	Perform ceremonial and symbolic duties such as greeting visitors, signing legal documents
	Leader	Direct and motivate subordinates; training, counseling, and communicating with subordinates.
	Liaison	Maintain information links both inside and outside organization; use mail, phone calls, meetings.
Informational	Monitor	Seek and receive information, scan periodicals and reports, maintain personal contacts.
	Disseminator	Forward information to other organization members; send memos and reports, make phone calls.
	Spokesperson	Transmit information to outsiders through speeches, reports, memos.
Decisional	Entrepreneur	Initiate improvement projects; identify new ideas, delegate ideas, delegate responsibility to others.
	Disturbance handler	Take corrective action during disputes or crises; resolve conflicts among subordinates; adapt to environmental crises.
	Resource allocator	Decide who gets resources; scheduling, budgeting, setting priorities
	Negotiator	Represent department during negotiation of union contracts, sales, purchases, budgets; represent departmental interests.